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Department of State letter, August 10, 1972
By Milton O. Gustafson NARS, Date 12-18-75

88-1

EMBASSY OF THE
UNITED STATES OF AMERICA

No. 514 Chungking, China, July 14, 1942

54 Subject: The situation in China; rumors of possible peace with Japan; Chinese "demands" for aid from the United States; memorandum of conversation with Lieutenant General Joseph Stilwell, U. S. A.

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STRICTLY CONFIDENTIAL

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ADVISER ON POLITICAL RELATIONS MR. HORNBECK AUG 12 1942 DEPARTMENT OF STATE

The Honorable
The Secretary of State,
Washington, D. C.

Sir:

1/ I have the honor to enclose as of possible interest to the Department, and for the record, copy of a memorandum of my conversation on July 11, with Lieutenant General Joseph Stilwell, U. S. A., Commanding General, U. S. Army Forces in China, Burma and India, in reference to the China situation, rumors of possible peace with Japan, Chinese "demands" for aid from the United States, and the expected visit to Chungking of Mr. Lauchlin Currie, Administrative Assistant to the President.

SEP 23 1942

Respectfully yours,

C. E. Gauss

PS/VMC

Enclosure:
1/ as stated

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Enclosure no. 1 to despatch no. 514, dated July 14, 1942, from the Embassy at Chungking, China.

MEMORANDUM OF CONVERSATION July 11, 1942

Present: Lieut. Gen. Joseph Stilwell
Brig. Gen. Hearn, Chief of Staff

Mr. Gauss

General Stilwell came over to see me this morning by appointment. He said he wished to get my reaction to the report of the Military Attache, Colonel Mayer, of alleged peace conversations at Chungking between the Japanese and the Chinese. (Colonel Mayer recently reported that the Russian Military Attache had informed him that a Japanese is now in South Hot Springs, Chungking, and is the bearer of peace proposals along the lines of those made by Prince Konoye when Prime Minister several years ago).

I told General Stilwell that I had noted Colonel Mayer's report, and its source, and had found it interesting, but I attached no particular importance to it. We at the Embassy found that the reaction at Chungking on the war situation followed the trend of the fortunes of the United Nations; when those fortunes are low we observe discouragement among the Chinese and renewed rumors of possible peace negotiations. This was not the first report or rumor that we had had from the Russians; I had no reason to believe that their sources were particularly good or accurate; and I did not recall any particular Russian report which had been proven correct. However, I did not dismiss the report on that ground. We at the Embassy have been keeping our ear to the ground for some weeks, talking with Chinese officials and others who are inclined to talk frankly, and we had yet to discover anyone who believed that peace negotiations or discussions of any kind were going on with the Chinese - certainly not with the Generalissimo and those in authority. Practically everyone had maintained that with or without aid of the United States and other nations, China would continue to resist the Japanese in China. I stated that I had not had occasion to see the Generalissimo for several weeks - since T. V. Soong has become Foreign Minister and remains at Washington most of the conversations between China and the United States have apparently been through Soong at Washington and I was not informed of them - but on several occasions in the past when there have been rumors of peace proposals I have mentioned the rumors to the Generalissimo and he has been most emphatic in his statement that no peace proposals had been received nor would any be entertained. I felt confident that, notwithstanding the existing rumors and such reports as that from the Russian Military Attache, the Generalissimo and those in authority in the Government could not afford to entertain peace terms from the Japanese; certainly not peace terms which would leave the Japanese in substantial control of the country. I asked Stilwell what he thought of the report.

He replied that he was inclined to share my view that the Generalissimo could not and would not entertain peace proposals from Japan, on the grounds (1) that the Chinese have their eyes on the rich plum of half a billion dollars U.S. currency held out to them, and (2) that the Generalissimo and those around him had nothing to gain and everything to

lose

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lose by making peace with Japan; but on the other side of the picture there are (1) the recent "three demands" by the Generalissimo with the suggestion of peace with Japan as the alternative, and (2) the manner in which the Generalissimo and China have been built up by propaganda in the United States to a point where it might be possible for the Generalissimo to make a peace with Japan and yet get by with the people of the United States by saying that China has been isolated, can no longer receive outside aid, and perforce has had temporarily to make a peace with Japan, a peace which will be set aside as soon as China can regather strength.

I remarked that I had no information of the "three demands" made by the Generalissimo to which General Stilwell referred; I had been told nothing of them. I asked what they were; and I had to repeat my inquiry several times in the course of the conversation that followed before he finally told me that the Generalissimo demanded (1) three American divisions in India, with the necessary auxiliary troops (2) 500 combat airplanes, which meant 1,000 since there must be about the same number in reserve, and (3) 5,000 tons of supplies by air transport monthly. I asked why Chiang wanted three divisions in India; Stilwell replied that of course Chiang would like to have them in China, but India is mentioned as the base for a drive to re-take Burma to re-open the route of Supply to China. Stilwell said that the Generalissimo is sticking to these demands; he will not listen to reason; he will not accept figures showing that, for example, it is not possible to supply and service 500 combat planes in China (Stilwell mentioned that the supplies of gas and bombs in the country would only service the present small air force we have sent in for six months in carrying out the limited missions assigned to them); he will wave aside information showing that it would be necessary to build five new air fields near Kunming to service the transport planes necessary to bring in 5,000 tons a month - and 5,000 tons represented about what it would take to supply 500 combat planes.

By further questioning I developed more of the conversation which had taken place between the Generalissimo and Stilwell (with Madame Chiang present). He said that the Generalissimo insisted upon the aid indicated (the three demands; but he admitted there were also "some other things" he wanted) or he would have "to make other arrangements". Stilwell said that he inquired whether he understood correctly the statement that the Generalissimo would "have to make other arrangements" and this had been put back to the Generalissimo in Chinese by Madame Chiang and he had confirmed the statement.

I commented to Stilwell that the report as it had reached me through Colonel Mayer, my Military Attache, was to the effect that the Generalissimo had been greatly irritated at information conveyed by Stilwell that certain American air support had been diverted to the Middle East and had said to Stilwell that he wished to know whether Washington still considered the China theater worthy of aid - this, in order that he might plan for the future - and that it was Madame Chiang who had made the aside in English that this implied peace with Japan. I had not been told of the Generalissimo's three demands. When Colonel

Mayer

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Mayer reported to me on Saturday, June 27, the information he had received from Stilwell regarding the conversation with the Generalissimo, I had considered it desirable to see Stilwell and had come over for that purpose on Sunday, June 28; and I had not then learned anything from Stilwell about any three demands or any further conversation with the Generalissimo.

I asked Stilwell when the three demands had been made. He said he was confused as to dates and could not say without referring to his notes. (I had to leave it at that, with Stilwell intimating that Colonel Mayer had not conveyed to me in full the conversation he (Stilwell) had given to Mayer. At that time Stilwell was still ill and I doubt whether he has a very clear recollection of what he did tell Mayer).

I then asked Stilwell whether he had reported his conversations with the Generalissimo to Washington; he said he had. I asked whether there had been an answer; he said no, except that on some points there had been profuse apologies but the main issue had not been met.

Referring to Stilwell's two points - Chiang's demands and the possibility that Chiang might be able to make a peace with Japan and get by with it in the United States, I expressed my views substantially as follows:

I agreed that it is unfortunate that Chiang and the Chinese have been "built up" in the United States to a point where Americans have been made to believe that China has been "fighting" the Japanese for five years, and that the Generalissimo, a great leader, has been directing the energetic resistance of China to Japan and is a world hero. Looking the cold facts in the face one could only dismiss this as "rot". China's "prowess" has been overplayed; and we have said so to Washington.

As to Chiang's demands, Madame Chiang's aside, and the Generalissimo's statement that he would "have to make other plans" - whatever that implied - it is my firm conviction that this is a bluff; and the type of bluff that Madame Chiang was capable of concocting and selling to the Generalissimo. This "either or else" attitude could not, in my opinion, be accepted. (I had in mind in this connection a report which has circulated in Chungking to the effect that Stalin some months ago told Washington that either the U. S. must come through with all-out aid to Russia "or else" Russia would make a separate peace with Germany[.] I commented that even the Communist leaders here seem to know that Chiang is putting up a bluff, for they tell us that it is a bluff and we should "call" it. I recalled that Dr. T. F. Tsiang (Tsiang Ting-fu) was the Government spokesman who had first sounded the note that Japan proposes to undertake a major offensive on China and China must have help - planes, and more planes, and more planes. I said that in a recent conversation I had with Dr. Tsiang, whom I found to be more frank and plain-spoken than most Chinese officials, I had asked him point blank whether there was any discussion or indication of any kind in the Government of possible peace with Japan and he had given me an immediate and positive "no"

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in reply. And everyone else with whom any of us has talked takes the same line - there is no thought of peace with Japan. Those who are outspoken describe the recent Chinese cry for planes and more planes and more planes as pure bluff; China sees other nations being supplied and wants her share. As to Madame Chiang's remark, I had commented to Washington that I considered it as representing her impatient and captious attitude and I did not believe that General Chiang or in fact Madame herself, had any thought of possible peace with Japan.

I said that I did feel, however, that a reasonable measure of air support and munitions should be given to China; that it should be given without default; and that whatever the demands from other theaters, I believed this aid should come to China without fail and without unnecessary delay.

In my opinion - and we have had this opinion consistently from the beginning of my tenure as Ambassador - China is only a minor asset to us; she might however become a major liability. As an asset, China has contained a substantial Japanese force in China that might otherwise have been used in some other theater against the United Nations. There was also the possibility that we could use the air fields in eastern China as a base for an air offensive against Japan; but now those fields are lost and there appears to be little chance of their being recovered and used; so that China is less of an asset than ever before. But it is desirable that China continue to be aligned on the side of the United Nations - if only to continue to contain a substantial Japanese force now stalemated in China. And having in mind the demand for three divisions of American troops in India to attack Burma, those at Washington concerned with high strategy might find it desirable to undertake a thrust at Burma from India at the same time that MacArthur starts "rolling them up" from Australia and our Navy may perhaps attack the Japanese island strongholds in the South Pacific - unless of course Siberia comes into the picture and the United Nations strategy contemplates getting at Japan through Siberia.

I have also felt that there is a real possibility - but I have not been willing to call it a probability - that Japan may hesitate to attack Russia in Siberia, or India, or Australia, but, instead, concentrate on China, in which case China must be bolstered so far as possible toward offering effective "resistance". Therefore it has seemed to me that the United Nations should not hesitate longer in sending in to China all the air force that China can sustain and service - and that does not seem to be a very large force - together with a continuing supply of materials for small arms ammunition; so that China can at lease have means and assistance available in attempting continued resistance - and effective resistance, I hoped - against Japan.

Stilwell mentioned that he fears a Japanese attack on Yunnan from Indo-China. I commented that we have heard before of such possibilities; and now we also have the possibility of such an attack synchronized with an attack from Burma; but personally, I believe that if Japanese forces

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become heavily engaged on other substantial and major fronts, additional pressure on China will not be applied. On the other hand, if Japan does not become involved in Siberia, or Alaska, or India, or Australia, then we can expect her to throw her weight against China. These are considerations which should be weighed in Washington. A decision should be reached as to what can be supplied to and used in China - and it is important that we consider not what China wants but what China can use - and Chiang should then be told that he will be given that support. If he persists in demanding more and threatens peace with Japan, I am of the opinion that he should be told, with authority of Washington, that when he undertakes to negotiate a peace with Japan the American military and diplomatic missions will immediately be withdrawn without further ado from China, and that finishes all American assistance to China - now and for the future.

The conversation then turned to Currie. (I had sent Stilwell word that Currie was coming out; he had replied with the information that he already had had word from Washington to that effect). He asked what authority Currie has. I replied that all I knew about Currie's visit was contained in my message from the Secretary of State which I drew from my files and showed him. He said, in reply to a question, that the Chinese had not mentioned the Currie visit. I stated that it had not been mentioned to me from any Chinese source, but that I knew from an American source that the fact of Currie's expected visit was known in Chungking and had come to him on a date which I identified as before the receipt of the message by me from Washington.

Stilwell said that Currie was meeting General Gruber (whom Stilwell is sending to Washington) today, in Accra, Africa. Stilwell wanted to know whether we would see Currie before he saw Chiang; would he confer with me, would he confer with Stilwell. I said that I did not know; nor did I know Currie's wishes; but I was sending an invitation to Currie (to be taken to New Delhi by Colonel Mayer) to stay at the Embassy. I doubted whether he would do so; but I had made the offer and had told Currie that we stand prepared to give him any assistance desired; further, I knew not! Stilwell seemed to feel that Currie should confer with him and with me before seeing the Chinese. I agreed that this seemed to me desirable, but I did not know what Currie would do nor did I know what his instructions might be.

C. E. Gauss

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